# Quiz 3 — Short Answer

SID-50101 | ECON2001 Quiz 3

## 1. Question 1

*Define opportunity cost and comparative advantage, giving an example of each.*

Opportunity cost is the value of the next best alternative given up when a choice is made. If I spend Saturday working a shift that pays $150 instead of studying, the opportunity cost of studying is the $150 I would have earned. Comparative advantage means producing a good at a lower opportunity cost than someone else. If Australia gives up less wine than New Zealand to produce one tonne of wool, Australia has the comparative advantage in wool even if New Zealand is better at producing both.

## 2. Question 2

*Use a supply and demand model to analyse a binding rent ceiling in a city rental market, in the short run and the long run.*

A rent ceiling set below the equilibrium rent is binding. At the ceiling, quantity demanded rises above quantity supplied, so there is a shortage of rental housing. In the short run supply is fairly inelastic because the number of apartments is fixed, so the shortage is small. In the long run supply becomes more elastic as landlords convert apartments to other uses and fewer new apartments are built, so the shortage grows and quality may decline.

## 3. Question 3

*Evaluate the trade-offs between a rent ceiling and targeted housing vouchers.*

A rent ceiling helps current tenants at no budget cost, but it causes shortages, queues and lower housing quality, and it helps tenants regardless of income. Vouchers target low-income households and do not reduce supply, but they cost the government money and may raise rents if supply is inelastic. Overall vouchers are better because they help the people who need it without shrinking the housing stock.